

TMX GROUP LTD TMXXF

January 24, 2017 - 10:21am EST

by

SpocksBrainX

			2017	2018
Price:	69.41	EPS	3.87	0
Shares Out. (in M):	55	P/E	17.9	0
Market Cap (in \$M):	3,797	P/FCF	16.3	0
Net Debt (in \$M):	635	EBIT	0	0
TEV (in \$M):	4,432	TEV/EBIT	0	0

Description

How I do Things

My firm uses a methodology patterned after the books of Peter Lynch which involves populating a portfolio containing an array of stock choices, including fast growers, stalwarts, asset plays, and to a lesser extent cyclical and turnarounds and slow growers.

The resulting portfolio composition is entirely decision based involving lots of lots of stock picks along with a monthly rotating assessment to add/subtract based on story and price changes involving a wide range of selections, thereby ensuring that no single decision determines my results.

This means that my holding periods can range from very short (month or two) to very long (my style is often buy and hold and sell and buy the same ideas again), with the underlying idea expressed by John Train that if I am an above average investor, my decision making will invariably pull me higher. Lastly, as a one person firm I have to deal with both client reporting, pedestrian requests, and a whole host of things to serve my clients and earn a living, so my style has always embraced the idea that scratch and sniff pattern based research based on critical factors was inherently more effective – for me – than detailed research on any specific company, which means that I typically look at hundreds and hundreds of companies in any single year (Value Line is a primary source). Course, I also get bored easily so this fits my personality (esp. since I must be 100% self-sufficient beyond email buddies or discussions on bulletin boards; I am 100% self taught), and want to achieve good results on a consistent basis, but there is a limit to how much I know, how long I will spend on any single idea before moving on, and how many filings I read. I try to protect myself by favoring the obvious business model, one that generates a lot of cash.

I believe this style also benefits from a common man effect, where if I recognize an obvious value then odds are that it won't be long before someone else finds it too. Consequently, I define "value" far more limited than most: I major avoid restructurings, value based on future assumptions that radically differ from current performance, and value based on usually anything other than free cash flow, and I don't short. With FCF, I look for companies with a CFFO to CapEx ratio of 4x or better (not dogmatic) but really like those 10x and above. I like seeing BS that get better over time, and I think the use of debt is inherently a bad move unless paid down quickly (a lesson learned from following hundreds of capital killing moves by retailers).

I also believe the market is efficient but it usually doesn't know any more than I do about the future in companies I follow. I also like stories where dollar cost averaging is an effective strategy (and thus the story can be followed a LONG time) but spent little time forecasting beyond the next few years. Thus, I don't build models like many do and don't make intrinsic value calculations of EBITDA determinations beyond keep track of a 100 to 200 companies on a custom spreadsheet along with screening techniques that history has shown add value (e.g., a stalwart screening list based on PE ratios - see my Lowe's writeup earlier this year).

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That said, I offer up X-T as my latest investment idea though admittedly this was a much better setup at the begin of 2016 but it is still a stock I find attractive.

Thesis

X-t is a good business trading at a reasonable price and is an attractive business for the long-term. This company features the usual exchange operator attractions including 1) a solid BS with minimal debt levels, 2) generating a ton of FCF, with 3) margins and earnings tied to volatile volume changes, currently 4) paying down debt and likely a rising dividend, with 5) restructuring charges set to tail down in a few quarters. Negatives include total dependence on Canadian securities (esp. oil, gas, and minerals) and currency, inherent tie-in with volume changes which are inherently unpredictable, and competition which so far has made little inroads.

Business

X-T is the TMX exchange up in Canada. From the Annual Information Form on Sedar:

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Here is why I like the biz:

*BS has negligible debt levels. Cash was 384m as of 9-30-16 with debt of 1018 or -634. Net debt was -771 on 12-31-15 and -882 in 12-31-14. Management has stated that debt paydown is one of its primary goals. Interest expense ytd was 25.8m vs. 30.6 ly.

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*Company is tightly controlling expenses. Company has been involved with a restructuring plan for a few quarters (see any EPS release or annual information form) but it still seeing higher margins before strategic expenses. Q3 sales ytd was up 2.3% with expenses down 4.5%. Even with 21m in alignment expenses income from operations was up 11% ytd.

*capital allocation. Other than a small 14.7m acquisition in 2014 free cash flow has been devoted to debt paydown and now paying a dividend.

*valuation. Not as interesting as it was, but the stock trades for 17.9x trailing earnings with an EV of 4432 with TTM CFFO of 285m. Restructuring costs are expected to tail down in future years (I am not computing any future numbers here cause nobody can predict volume trends), but admittedly these expenses have been persistent so we'll see about the future.

Comparisons are always hard given the variable nature of the exchanges, their reliance on volumes and non-volume related activity, diversification, and varying debt levels and acquisition policies and dividend payments and buyback plans but ICE, CME, NASDAQ, and several other exchanges trade for what look to me to be higher valuations (though some like CME are inherently better business models given the exclusivity of their product lines) . BATS was recently scooped up at higher levels. In general, I have never found an exchange stock that I didn't want to invest in.

Here are concerns:

*Canada is heavily resourced based. I haven't looked to see how much but in my years investing there the resource and banks seem to be all they talk about, and this stock got killed late in 2015 when oil fell. Even if not a long-term problem, this can create short-term trading opportunities.

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*Incoming competition. There has been a lot of chatter about NASDAQ entry into the market and other competitors and litigation and lots of other stuff you can read about in the filings but so far none of it has mattered. Admittedly I have not spent a lot of time with this because in every single exchange stock I've ever looked at over 15 years+ regulatory and competition pressures never seem to stop the cash flow from coming in and volume reports will show the impact if things do change.

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<http://business.financialpost.com/news/fp-street/tmx-ceo-waves-off-competitive-threats-as-rivals-gather-at-the-gates> (from Dec 2015)

*for US investors, the CAD is at 76c right now. Since I've been investing down under this has varied from about \$1.05 when oil was booming to 68c or so last year. I have no opinion about the CAD currency but figure that since I plan to invest there for many years I can DCA any fx impact out.

*trading volume isn't the greatest. I am a small investor so this is less of a problem for me but trading here can move the stock.

As far as management, they seem to know what they are doing (it is very hard to tell otherwise). Eccleston has been interviewed a few times but it hard to tell at this point but his capital allocation has been pedestrian and pedestrian seems good to me.

On catalysts, it is hard to come up with specific ones, but the stock recently jumped 6 to 7% earlier this year and was now down 2 to 3% ytd yesterday so it does provide opportunities to trade on specific non-business related news. As I type this, the stock is up 1% today.



I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

Continued FCF growth

Messages

Subject	different format
Entry	01/24/2017 10:31 AM
Member	SpocksBrainX

I imported the previous and it looks different than my word file

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*the stock is no longer cheap. As noted, last year was a much better setup – competition news was newer, oil was dragging, and the stock fell hard on small volume (in part due to ill-timed analyst downgrades) – but I still think the current valuation is good for a long-term investor. At the very least, the FCF they generate gives the company a lot of options.

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Subject	cffo correction
Entry	01/24/2017 02:39 PM
Member	SpocksBrainX

sorry - math error - I did this by hand for this profile as I didn't do a multi-year spreadsheet on the biz given the nature of the biz model - CFFO from 2014 to 9 months 2016 was +250.3+254.2+236.7 or 741m. CapEx is as noted 60m...

Subject	report today
Entry	05/10/2017 11:16 AM
Member	SpocksBrainX

EA today

sales up 5% though 7% adj for sale

adjusted EPS (which I accept here) up 11%

CFFO up 20% though income tax paid is a line item in the CFFO section - if you use pre-tax NI+Da instead, it is up 10%

BS continues to delever - debt down, cash up; company raised the divi - this seems to be their chosen route for capital allocation besides debt paydown; debt paydown prob going to be 100m to 120m range each year

by my computations, ttm 12m CFFO at 281 w/18m CapEx (divi 118m now)

price is coming down on the news (over \$78 CAD yesterday - I had trimmed this a wee bit before this latest report) but nothing's changed other than weaker CAD for US investors - core position for me

just 2c

Subject	Author Exit Recommendation
Entry	08/03/2018 11:32 AM

Member

The author has recommended exiting the position

SpocksBrainX